

DISSENTING OPINION BY M. NEGULESCO.

[*Translation.*]

The undersigned holds that the Court should have declared that it had no jurisdiction, for the following reasons:

The Special Agreement concluded at Paris on October 30th, 1924, presents certain special features. It entrusts the Court with two distinct tasks in successive phases of the proceedings. In fulfilment of the mission of mediator entrusted to it by Article 1 of the Special Agreement, the Court, by means of its Order of August 19th, 1929, made known to the Parties the results of its deliberation upon the first question put to it and granted the Government of the French Republic and the Government of the Swiss Confederation a period expiring on May 1st, 1930, to settle between themselves, under such conditions as they might consider expedient, the new régime for the territories contemplated by Article 435, paragraph 2, of the Treaty of Versailles.

The negotiations between the two Governments not having resulted in an agreement, the case again came before the Court, pursuant to Article 2, paragraph 1, of the Special Agreement which defined the second mission entrusted to it. "By means of a single judgment" the Court was to pronounce upon the two questions enunciated in the Special Agreement: (a) to decide whether, as between France and Switzerland, Article 435, paragraph 2, of the Treaty of Versailles with its Annexes has abrogated or is intended to lead to the abrogation of the stipulations of the treaties of 1815; (b) to settle all the questions involved by the execution of paragraph 2 of Article 435 of the Treaty of Versailles, having regard to "present conditions" and "for a period to be fixed by it".

The Court, in the second phase of the proceedings, granted the Parties a further period to settle between themselves the matter of importations free of duty or at reduced rates across the Federal Customs line. In its Order of December 6th, 1930, the Court explained that it was compelled to adopt

this solution on account of Article 2, paragraph 2, of the Special Agreement. Having allowed the Parties the necessary time to come to an agreement upon the matter of imports free of duty or at reduced rates, and the Parties having failed to reach that agreement, the case again came before the Court in order that the latter might give its final judgment. In this last phase of the proceedings, the Court should have declared itself incompetent.

The Court's incompetence appears from an examination of two questions: firstly, what was the intention of the Parties as expressed by the Special Agreement, and secondly, whether that intention is not inconsistent with Article 14 of the Covenant and with the Statute of the Court.

It is clear that the difference of opinion which brought about the failure of the negotiations preceding the Special Agreement was concerned solely with the interpretation to be placed on Article 435 of the Treaty of Versailles with its Annexes. France contended that, under this Article, the régime of the zones had been abolished; Switzerland, on the other hand, contended that the régime of the zones could not be abolished without her consent. It was on account of this difference that the agreement contemplated by paragraph 2 of Article 435 of the Treaty of Versailles had not been realized: "with a view to settling between themselves the status of these territories under such conditions as shall be considered suitable by both countries".

The Parties, being unable to agree, had recourse to the Court and conferred upon it power, firstly, by Article 1 of the Special Agreement, to decide whether the Treaty of Versailles had abrogated or was intended to lead to the abrogation of the old provisions, and secondly, by Article 2, paragraph 1, of the Special Agreement, to settle all the questions involved by the execution of paragraph 2 of Article 435 of the Treaty of Versailles, having regard to present conditions and for a period to be fixed by it.

In order to determine its competence, the Court must examine whether, in accordance with Article 14 of the Covenant, the dispute brought before it is of an international character,

and then whether, in accordance with Articles 36 and 38 of the Statute, the question submitted to it is capable of a legal solution.

The first question submitted to the Court concerning the interpretation of Article 435, paragraph 2, of the Treaty of Versailles is certainly an international dispute of a legal character coming within the limits of its jurisdiction.

The second question enunciated in Article 2, paragraph 1, of the Special Agreement comprises several points:

(a) its object is to secure the execution of Article 435, paragraph 2, of the Treaty of Versailles;

(b) to this end, it confers a special power upon the Court.

These two points in Article 2, paragraph 1, of the Special Agreement result in the Court's incompetence:

(a) The Parties are agreed in asking the Court to prepare customs regulations, and the difference which has arisen between them has done so in a preliminary or incidental manner in connection with these regulations. Switzerland argues that, in applying Article 2, paragraph 1, of the Special Agreement, there can be no further discussion of her right, which the Court recognized when it interpreted Article 435, paragraph 2, of the Treaty of Versailles in its Order of August 19th, 1929; France, on the other hand, maintains that, by reason of the power conferred upon it in Article 2, paragraph 1, of the Special Agreement, the Court is substituted for the Parties themselves.

It is clear that the request of the Parties that the Court should regulate in their stead the customs régime between the two countries is not concerned with a dispute of a legal character. The Court is not asked to declare the law between the Parties, but to make law between them on the basis of political and economic considerations which are foreign to the attributes of a legal tribunal. The question submitted to the Court under Article 2, paragraph 1, of the Special Agreement is therefore outside its jurisdiction.

(b) If it is true that the Parties, when conducting the negotiations contemplated by Article 1, paragraph 2, of the Special Agreement, had the power even to abrogate the zones, this

power must have been conferred upon the Court by the express provisions of the Special Agreement.

In fact, Article 2, paragraph 1, of the Special Agreement gives the Court the power to "settle for a period to be fixed by it and having regard to present conditions" all the questions involved by the execution of paragraph 2 of Article 435 of the Treaty of Versailles.

In order to interpret this expression, which determines the powers conferred upon the Court, it is wrong to argue that because the word "exclusively" does not figure in it, it must be inferred that the Court may give a decision going beyond the restricted powers conferred upon it. If that were the case, all texts containing an enumeration of this kind would cease to be specific and would become general whenever the word "exclusively" did not figure therein. Such a result would be contrary to the rules of legal interpretation. This is all the more so in this case because we are concerned with the interpretation of a Special Agreement which determines the Court's jurisdiction; in the present judgment the Court has laid down: "that every Special Agreement, like every clause conferring jurisdiction on the Court, must be interpreted strictly".

The expression "having regard to present conditions" gives the Court power to fulfil the task entrusted to it on the basis of considerations of expediency which have nothing to do with questions of law. Similarly, the expression "for a period {to be fixed by it" shows that the Court is empowered to determine the new régime either for an unlimited period or, on the contrary, for a limited period. The zones, which are permanent in character, may therefore be maintained or suppressed by virtue of the power conferred upon the Court.

By virtue of this same power, the Court may determine all the questions relating to the exchange of goods between the two countries and may regulate them for a fixed period and having regard to present conditions.

From the foregoing, it follows that, according to the intention of the Parties, the Court in the second phase of the proceedings was to deal with technical questions, particularly the regulation of imports free of duty or at reduced rates; questions of law were to be excluded, for these questions

could neither be decided in accordance with present conditions nor for a fixed period.

To decide that the technical questions, the customs exemptions, are not within the competence of the Court [in accordance with Article 2, paragraph 1, of the Special Agreement, and to include in the expression "all the questions" only questions of law, is to violate the text of the Special Agreement since, in that event, the terms of the power conferred upon the Court by the Special Agreement to decide in accordance with "present conditions" and for "a period to be determined by it" would cease to be applicable, and hence the expression "all the questions" could no longer refer to all the questions which arise in connection with the regulation of the régime, but only to certain questions of a specific nature.

While, in principle, the regulation of the customs exemptions is a question within the reserved domain of the State and under Article 15, § 8, of the Covenant falls outside the competence of the Court, the Parties may by agreement transfer a question from that reserved domain to the domain of international law. This was held by the Court in the case of the nationality decrees in Tunis and Morocco.

A study of Article 2, paragraph 1, of the Special Agreement shows clearly that the Parties intended the Court to regulate the customs exemptions. These questions, however, being [of an economic and political nature and having no legal character, are not within its competence.

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But quite apart from the provisions of Article 2, paragraph 1, of the Special Agreement, the Court is also incompetent on account of Article 2, paragraph 2: "Should the judgment contemplate the import of goods free or at reduced rates through the Federal Customs barrier or through the French Customs barrier, regulations of such importation shall only be made with the consent of the two Parties." This text clearly lays down that it is necessary to obtain the consent not only of the Party across whose customs line the

importation of goods free of duty or at reduced rates is to take place, but also the consent of the other Party.

Article 2, paragraph 2, of the Special Agreement does not mean that the Court can "contemplate" the principle that exemptions must be granted, but cannot "regulate" them, i.e. that it can abstain from defining the extent and terms of this regulation, because the latter has been reserved for an agreement to be concluded between the Parties. Indeed, if the Court was incompetent as regards customs exemptions, how could it be competent to "contemplate" the principle in favour of zones' products and across the Federal Customs line? The truth is that the expression "regulations of such importation shall only be made", in Article 2, paragraph 2, of the Special Agreement, must refer to the regulation to be made by the Court and not to that made by the Parties; for if the Parties intended to reserve this regulation to themselves, the text, instead of saying that such regulations "shall only be made with the consent of the two Parties", would have said that this regulation could not be made "except by agreement between the two Parties". The word "consent" always refers to acts of third Parties; the only word which may properly be used to designate the consent of the two Parties is the word "agreement". This interpretation of Article 2, paragraph 2, also corresponds with Article 2, paragraph 1, of the Special Agreement, where the word "settle" refers to the power conferred upon the Court. The Court is therefore empowered to "regulate" in its judgment the question of exemptions. By the words "regulation of such importation shall only be made with the consent of the two Parties", the Parties intended that when judgment had been given, if it contemplated customs exemptions it should have no executory force as long as the two Parties had not consented to the exemptions provided for and regulated by the Court. In other words, the Court is entitled to regulate the exemptions, but its decision is only to become executory with the consent of the two countries.

It is true that Article 2, paragraph 2, of the Special Agreement seems only to contemplate the customs exemptions as a possibility: "Should the judgment contemplate....", etc. But it should be observed that the authors of the Special

Agreement intended to adopt a text which would cover at once all eventualities: (a) the maintenance of the two customs cordons at the political frontier; (b) the maintenance of the Swiss customs cordon at the political frontier and the withdrawal of the French customs cordon behind the zones of Upper Savoy and the District of Gex; and (c) the withdrawal of both customs cordons to the position they occupied in virtue of the treaties of 1815, on the French side, behind the Savoy and Gex zones, and on the Swiss side, behind the frontier and as far as the other extremity of the canton of Geneva and the commune of Saint-Gingolph. Of these three possibilities, only in two of them would the Swiss cordon remain at the frontier, and the question of exemptions could arise only in these two cases; in the third possibility, where the two customs cordons would no longer be at the frontier, the question of exemption could not arise.

The expression "should the judgment contemplate...." is therefore not to be regarded as meaning that the exemptions are a possibility, but as an element of the two régimes (a) and (b), the very basis of which must be customs exemptions.

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The Parties having been allowed the necessary time to agree in regard to imports free of duty or at reduced rates, and having failed to agree, the position of the Court is now that, if it delivers a judgment, the assent of the Parties in regard to imports free of duty or at reduced rates will be requisite, in order that the judgment may be executory. But that is incompatible with the character of the Court's judgments. The Court itself said as much in its Order of December 6th, 1930: "Whereas it is certainly incompatible with the character of the judgments rendered by the Court and with the binding force attached to them by Articles 59 and 63, paragraph 2, of its Statute, for the Court to render a judgment which either of the Parties may render inoperative...."

The situation in which the Court is placed as a result of paragraph 2 of Article 2 of the Special Agreement should not lead it to act in such a way as to prevent one of the Parties,

who has not been able to assist it in the performance of its task, from availing itself of the pleas and objections open to it under the Statute and the Rules of Court.

It is true that the Swiss Government gave its consent in advance to any measures which the Court might see fit to lay down in virtue of paragraph 2 of Article 2 of the Special Agreement. But the fact that France, owing to her constitutional system, was unable to give her assent before the delivery of the judgment, ought not to place her under a disability, and lead the Court to deprive her of the right to enter a plea against the Court's jurisdiction in respect of the whole of the dispute, on the ground that this would result in an injustice towards the other Party.

The French Government, in failing to give its assent before the delivery of the judgment, was merely acting within its right, according to the terms of paragraph 2 of Article 2 of the Special Agreement, which leaves each of the States entirely free to give its assent before or after the judgment in regard to any regulation of customs exemptions effected by the Court.

But, even if the French Government were no longer entitled to raise this objection, it could still have been raised, as of right, in virtue of the Statute, at any time during the procedure.

As the Court could not regard a case as validly submitted to it, in virtue of a Special Agreement which infringes the provisions of Articles 59 and 63, paragraph 2, of its Statute, it ought to have declared that it had no jurisdiction.

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Moreover, if any doubt could arise regarding the interpretation of Article 2 of the Special Agreement and the power of the Court to settle customs exemptions, this doubt could no longer exist in view of the interpretation furnished by the Parties themselves. Article 2, paragraph 1, of the Special Agreement empowers the Court to settle all the questions involved by the execution of Article 435, paragraph 2, of the Treaty of Versailles. Both the Governments are agreed that the conditions have changed, and that a new customs régime ought to be introduced (Swiss note of May 5th, 1919, and

French note of May 19th); as they disagree in regard to the maintenance or abolition of the zones, they have submitted two draft proposals to the Court—a French draft, which presumes the abolition of the zones, and a Swiss draft, which on the contrary presumes their retention. But in both of these drafts the customs exemptions occupy an important place, and represent an essential factor for the execution of Article 435, paragraph 2, of the Treaty of Versailles. Article 2, paragraph 1, of the Special Agreement, which empowers the Court to “settle”, in the place of the Parties, the questions involved by the provisions of Article 435, paragraph 2, of the Treaty of Versailles, cannot exclude from the Court’s jurisdiction matters which the Parties themselves, in their respective proposals, desired to submit to the Court.

Furthermore, the exclusion of the settlement of customs exemptions from the Court’s jurisdiction would be in contradiction with the principles which should form the very foundation of the zones régime.

It must not be supposed that this zones régime can be restricted to the proclamation of the “right of Switzerland” and the obligation of France to withdraw her customs cordon, without the settlement of the customs exemptions, which is the vital question for the inhabitants of the zones, being dealt with at the same time.

If the zones were confined, on one side by the French Customs cordon, situated in the interior of the country, and on the other side by the Federal Customs line, placed at the political frontier, the inhabitants of the zones would be sacrificed, since the products of the zones could no longer be exported freely, either to the remaining territory of France, or to Switzerland; but the idea which underlay the creation of the zones was to prevent the inhabitants of the Canton of Geneva and those of the zones of Upper Savoy and the District of Gex from being kept apart by customs barriers, and to enable them to move freely and engage in trade, to the advantage of their mutual relations.

Article 435, paragraph 2, of the Treaty of Versailles, where it lays down that the new agreement between France and Switzerland was to settle the status of the territories “under

such conditions as shall be considered suitable by both countries", makes it clear that the agreement in question was to pay regard to the mutual interests of the two countries.

The Special Agreement itself, which, in paragraph 1 of its second Article, empowers the Court to execute this provision of the Treaty of Versailles, is animated by the same intention, since the second paragraph refers to the "consent of the two Parties"; and Article 4, paragraph 2, of the Special Agreement, which lays down that the Court, in order to facilitate a settlement of the customs question, may order investigations on the spot and hear "any interested persons", shows that the Court, in order to perform its task, should not seek to solve questions of law, but should acquire information concerning the needs of the zones inhabitants, and the reasons in favour of the abolition or maintenance of the zones, and, should their maintenance be decided, specify the customs exemptions which are requisite in the interests of the populations.

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Even if, prior to the Treaty of Versailles, doubts may have existed regarding the character of the customs exemptions, considered as an essential factor in the working of the régime, these doubts have disappeared to-day in view of Article 435, paragraph 2, of the Treaty of Versailles, and the Swiss note of May 5th, 1919, taken in conjunction with the text of that Article; these two provisions were intended to obtain a better situation for France. The Memorial of the Swiss Government in 1928 holds that the régime of the zones can no longer, since 1919, be regarded as a burden resting upon France alone: "The Federal Government, in its note of May 5th, 1919, accepted Article 435 of the Treaty of Versailles, so far as regards the free zones, as an undertaking given by itself to complete the provisions of the treaties of 1815 and the supplementary instruments by a new Franco-Swiss Convention, intended to facilitate the entry into Switzerland of the products of the free zones by means of a system of exemptions more liberal and more legally stable than in the past." (*Publications of the Court*, Series C., No. 17—I, p. 886.)

At the hearing on November 24th, 1930, the Agent of the Federal Government stated, on behalf of his Government, that they finally acquiesced in the customs exemptions, as provided in Articles 4 to 8 of the Swiss proposals, and also in any modifications which the Court might wish to make in them: "Moreover, Switzerland has submitted a draft Decision to the Court. This draft implies the assent of Switzerland, within the meaning of Article 2, paragraph 2, of the Special Agreement, and that assent is henceforward binding upon Switzerland, and applies, without further formalities, to all the provisions which it contains, in particular in regard to the import of French goods free of duty or at reduced rates through the Federal customs line...."

"And the assent of Switzerland, as regards all the provisions in its draft which relate to the import of goods free of duty through the Federal customs line, or to any other provision which the Court may see fit to insert in its judgment on this subject, will be valid, even if the judgment should not adopt the Swiss contention in regard to the maintenance of the zones." (*Publications of the Court*, Series C., No. 19—I, Vol. I, p. 443.)

The Agent of the Government of the French Republic, without abandoning his contention in favour of the abolition of the free zones, held that the customs exemptions constituted an essential element of that régime.

The two Governments are agreed on the principle of exemptions; they disagree in regard to the manner in which they are to be settled, their extent and their terms.

It is difficult to believe that the Parties intended, by Article 2 of the Special Agreement, to submit to the Court the principle of exemptions, in regard to which they were agreed, and to exclude from its jurisdiction the settlement of the exemptions in regard to which they disagreed.

Even admitting that, subsequently to the Order of December 6th, 1930, Switzerland retracted her declaration by reducing the customs exemptions by 50 per cent., this in no way affects the principle that customs exemptions have to form the basis of the zones system.

It is beyond dispute that both Parties desired that the regulation of the customs exemptions should be undertaken

by the Court. But what they desired is prohibited by the Statute of the Court; accordingly, the latter should declare that it has no jurisdiction.

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The Court having declared, in reply to the first question of the Special Agreement, that Article 435, paragraph 2, of the Treaty of Versailles has not abrogated and was not intended to lead to the abrogation of the treaties of 1815 and other supplementary instruments, has it power in virtue of paragraph 1 of Article 2 of the Special Agreement to order the withdrawal of the French customs cordon?

If it were necessary to read the provisions of paragraph 1 of Article 2 of the Special Agreement as implying the execution of Article 1, the determination of the position of the customs line would be included in that execution; but that is not the case, for, in the first place, Article 1 of the Special Agreement is not capable of execution; and, secondly, Article 2, paragraph 1, is not intended to provide for the execution of Article 1 of the Special Agreement, but for that of the last part of the second paragraph of Article 435 of the Treaty of Versailles.

This paragraph of Article 435 of the Treaty of Versailles consists of two parts. The first part contains the declaration of the signatories of the Treaty of Versailles to the effect that the provisions of the treaties of 1815 concerning the free zones are no longer consistent with present conditions. It was the interpretation of this clause which the Court was asked to give by the first question referred to in the Special Agreement. This clause, which contains the opinion expressed by the signatories of the Treaty, does not lend itself to execution; whereas, on the contrary, the final clause of the paragraph, which refers to the conclusion of an agreement designed to settle the status of these territories, is capable of execution. It is this part of the paragraph which the Court is required to execute under paragraph 1 of Article 2 of the Special Agreement. In these circumstances, the position of the cordon appears to be a consequence of the

interpretation given by the Court to the first question in the Special Agreement, and ought not to be included in the execution for which the Court has to provide under paragraph 1 of Article 2 of the Special Agreement.

If we exclude the withdrawal of the customs cordon and the regulation of the customs exemptions from paragraph 1 of Article 2 of the Special Agreement, how much remains of the settlement to be effected by the Court? All that remain are the legal questions that arise. But it follows from the terms of paragraph 1 of Article 2 of the Special Agreement, which empower the Court to settle for a period to be fixed by it and having regard to present conditions, that legal questions, which involve a permanent solution and are not dependent on present conditions, cannot be included among the matters which the Court can decide.

Even if one admits that in principle the Court is competent to decide the legal questions which come under the expression "all the questions", it must be admitted that the questions thus arising are of an incidental or preliminary character. The Court has been requested by the Parties to draw up a customs régime in their place, and questions which arise in the course of regulating these matters must be regarded as incidental or preliminary; legal questions cannot therefore arise since the Court is not competent to settle the customs régime.

If the Court has felt bound to declare, in the operative part of its judgment, "that, as the free zones are maintained, some provision for the importation of goods free of duty or at reduced rates across the line of the Federal Customs, in favour of the products of the zones, must be contemplated", this must not be regarded as a settlement of one of the points coming within "all the questions", but as the proclamation of a principle, accepted by both Parties, and constituting the main foundation of any customs settlement.

The question raised by the Swiss Government in regard to the French fiscal cordon falls outside the Special Agreement, since there is no international obligation which has limited French sovereignty in this respect. It is not, therefore, included among "all the questions" referred to in paragraph 1 of Article 2 of the Special Agreement.

As the Court finds itself unable to settle "all the questions" which are involved by the execution of Article 435, paragraph 2, of the Treaty of Versailles, and referred to in paragraph 1 of Article 2 of the Special Agreement, it ought to declare that it has no jurisdiction.

If the Court is unable to answer the second question put to it by the Special Agreement, has it power, at any rate, to settle the first question, which concerns the interpretation of Article 435, paragraph 2, of the Treaty of Versailles?

It is beyond dispute that the jurisdiction of the Court only exists within the limits corresponding to the intention of the States. But the fact that, under paragraph 1 of Article 2 of the Special Agreement, the Court has to deliver "a single judgment" proves that in the intention of the Parties all the questions submitted to the Court were to form an indivisible whole.

On these grounds, the undersigned considers that the Court should declare that it has no jurisdiction in regard to both the questions submitted to it.

(Signed) DEMETRE NEGULESCO.